

COMMISSION ON AUDIT

Office of the Chairperson

RECEIVED BY: *ALIX*

DATE / TIME: *AUG 21 2024*
3:20PM



Republic of the Philippines
Office of the Vice President

21 August 2024

HON. GAMALIEL A. CORDOBA

Chairperson
Commission on Audit
Commonwealth Avenue, Quezon City

Dear **Chairman Cordoba**,

We write to you in relation to the *Subpoena Duces Tecum* recently issued by Committee on Appropriations of the House of Representatives directing the Honorable Commission to submit all pertinent documents pertaining to the audit of the 2022 and 2023 Confidential Funds of the Office of the Vice President (OVP) and the Department of Education (DepEd).

We are of the position that the subject *Subpoena* should not be complied with for the following reasons:

I. The subject *subpoena* violates the Constitutional Principle of Separation of Powers.

The principle of separation of powers is violated when one branch of government unduly encroaches on the domain of another. Jurisprudence provides that there are two ways to violate the subject principle, namely: (1) by impermissible interference with another department's performance; and (2) by assumption of another department's functions.¹

Here, it is clear that: (a) the subpoena was not issued in aid of legislation and thus exceeds the legislative power of inquiry; and (b) its issuance impermissibly interferes with exclusive functions of the Commission on Audit ("COA") and infringes upon the independence of the Commission.

First, Congress has no power to participate or otherwise take part in any audit process. Obtaining any information in a pending audit clearly does not serve a legislative purpose of drafting or remedying legislation.

¹ *Belgica v. Ochoa*, G.R. No. 208566, 19 November 2013



Second. The audit decisions which the Committee seeks to obtain are in cases still pending adjudication, and therefore not final, not conclusive, and cannot be used as fair, accurate, or intelligent basis for legislation.

Third. COA already published its annual audit reports for FY 2022 and 2023, which are specifically intended to aid the executive and legislative departments in crafting responsive laws and regulations.

Fourth. The only purpose mentioned is to expose to the public the use of confidential funds by the offices headed by the Vice President and, purportedly, whether such use followed the guidelines. During the subject hearing, Representative Castro stated: "*Since hindi po pwedeng sabihin dito yung findings, yung report o yung anumang observations ng COA, ang mga taumbayan po interesado dito sa confidential funds at kung paano ito ginamit, kung ito po ba ay sumunod doon sa guidelines.*" Also, as reported in the media, Representative Castro has been known to say that Vice President has not yet "satisfactorily explained" the OVP's spending of confidential funds in 2022. She added that VP still has to account how she spent said funds in 2023, and that "she is not off the hook yet."

This is not related to any legislative purpose. There is no Congressional power to expose for the sake of exposure. The determination of whether the utilization of the funds complied with audit guidelines falls within the exclusive mandate of the Commission. It cannot be overemphasized that COA has the exclusive power, authority, and duty to examine, audit, and settle all accounts pertaining to the revenue and receipts of, and expenditures or uses of funds and property. Constitutional Framers envisioned the COA as a dynamic, effective, efficient, and independent watchdog of the Government, and for this reason conferred upon it broad and extensive powers. Allowing a Committee of the House of Representatives to *subpoena* audit decisions pertaining to an ongoing audit will only hamper the COA's performance of its duties.

On the other hand, the determination as to the legality of confidential funds solely falls within the exclusive mandate of the Judiciary. Clearly, therefore, Congress cannot infringe upon Constitutional mandates vested upon other branches of government.

II. **The enforcement of the subject *subpoena* will violate the Office of the Vice President's right to due process.**

First. Enforcing the subpoena against the audit decisions contravenes existing rules on the audit process. Disclosing the reports before the conclusion and finality of any audit is premature and will compromise the integrity of the final report. In fact, the Supreme Court has held that "*Notices of Disallowance may be released only to the parties having direct material interest, namely, the*



auditor, the head of the agency, and the officials directly affected by said notices. This is to afford opportunity to appeal.²

Further, COA Circular No. 2013-006 also provides that "*Except as to the status of cases, no information as to the action officer and/or the probable disposition or decision of any case pending adjudication before any office of this Commission shall be disclosed to any person. Violation hereof shall be the subject of administrative action provided under existing Civil Service Laws.*"

Second. The Office of Vice President will be deprived of its right to an impartial tribunal, and a fair and objective resolution of the cases. Public statements or discussions thereon by the Committee or the Congress as a whole may unduly influence the bodies which are already handling the same or similar subject matters.

Finally, it must be noted that there are no less than three (3) cases on the subject confidential funds that are currently pending with the Supreme Court. Hence, compelled disclosure of the audit decisions may be violative of the *sub judice* rule, which restricts comments and disclosures pertaining to judicial proceedings.

III. The subject *subpoena* may not be validly enforced due to the nature of confidential funds.

A recognized restriction to the right of information is national security matters and intelligence information. There is a governmental privilege against public disclosure with respect to state secrets regarding military, diplomatic and other national security matters.³

In fact, Memorandum Circular No. 15-2023 provides that a specific exception to the right of access to information is privileged information relating to national security, defense or international relations.

Moreover, Joint Circular No. 2015-01 or the Guidelines on the Entitlement, Release, Use, Reporting and Audit of Confidential Funds, specifies that the reports of National Government Agencies pertaining to the use of confidential funds are submitted specifically only to the President, the Senate President, and the Speaker of the House. Acknowledging the highly sensitive nature of the information involved, the agencies deemed it necessary to **restrict** access only to the enumerated officials, and **exclude** the collegial bodies in which they belong.

Finally, the COA Rules explicitly provide that audit decisions may only be released to the persons specifically enumerated thereunder the rules. The pertinent COA Circulars likewise require the confidentiality of all information

² *Belgica v. Pulido-Tan*, G.R. No. 212576, 05 January 2021

³ *Chavez v. PCGG*, G.R. No. 130716, 9 December 1998



involved in cases pending adjudication. These confidentiality rules were put in place to ensure the observance of due process, and to preserve and protect the information in pending audit cases. No valid and legitimate purpose has been forwarded to overcome the protections set forth under the Constitution and rules stated above.

In view of the foregoing, we respectfully urge the Honorable Commission to uphold the paramount confidentiality of the information being sought by the Subpoena.

Thank you.

Very truly yours,



ATTY. ZULEIKA T. LOPEZ
Undersecretary and Chief of Staff

